

## CORPORATE DATA PROTECTION, PRIVACY, AND RECORD RETENTION UNDER THE EXTANT NIGERIAN CORPORATE LAW REGIME: A REVIEW\*

### Abstract

This article critically analyses the dimension of corporate data protection, privacy and record retention under the new regime of Companies and Allied Matters Act (CAMA) 2020, within the context of emerging issues in digital corporate governance and regulatory reform taking place across Nigeria. The article takes the position that sections 860, 861 and 864 of CAMA 2020 signify a legislative departure from analogue to digital corporate governance by providing for statutory acknowledgement of electronic documentation and digital recordkeeping as objects flowing from the operations of law. The Act seeks to entrench principles of transparency, accessibility and corporate accountability in Nigeria's digital economy through its alignment with international frameworks such as the EU General Data Protection Regulation (GDPR) and the UK Companies Act 2006. The article, however, argues that the reform is structurally weak, on the grounds of continued implementation gaps, weakened cybersecurity architecture and limited harmonization with Nigeria Data Protection Act (NDPA) 2023. With a doctrinal and comparative approach, the article questions how effectively CAMA's digital provisions safeguard corporate privacy vis-à-vis evidentiary integrity and regulatory compliance. It contends, therefore, that successful corporate digitalization in Nigeria requires an overarching legal regime to balance corporate law, data protection tenets and technological protections so as to ensure the future of corporate governance in a data driven economy.

**Keywords:** CAMA 2020, Data Protection, Corporate Privacy, Record Retention, Electronic Documentation

### 0.1. Introduction

The development of company records in Nigeria has witnessed a phenomenal departure from the manual filing system to digital management and storage facility, in line with global practice of corporate governance. CAMA 2020 represents a significant reformation, replacing an archaic statute which had become patently obsolete and cannot accommodate the complexities of today's businesses in view of technological advancement and evolving corporate practices<sup>1</sup>. The provision on electronic documents and keeping of data provided for under Sections 860, 861 and 864 is an indication that Nigeria has taken a fair legislative stride towards the synchronisation of the corporate governance platform with digital-era realities<sup>2</sup>. However, the move to digital documentation comes with new risks as well-particularly in the case of data breaches, unauthorized access and insufficient measures being taken for the protection of data<sup>3</sup>. This shift in paradigm requires a closer look at where CAMA 2020 strikes the balance between corporate efficiency and privacy safeguards especially, in an age where data commands will be recognized as key asset of corporations.

CAMA 2020's update to recordkeeping and privacy protections stand in line with an emerging world recognition of the role of data governance in corporate transparency. In Nigeria, the corporate registry which is under the remit of The Corporate Affairs Commission (CAC) has been deploying electronic

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<sup>1</sup> Companies and Allied Matters Act, 2020, Sections 860–864.

<sup>2</sup> M O Ehioghare, "Digitalization and Corporate Law Reform in Nigeria," *Nigerian Journal of Business Law*, vol. 5, no. 2 (2021): 43–65.

<sup>3</sup> N Ofo, "Corporate Governance and Data Protection in Nigeria: A Legal Nexus," *African Law Review*, vol. 4, no. 1 (2022): 112–130.

systems for registering companies, filing documents and verifying information in business regulation<sup>4</sup>. But, even with these reforms, research shows that up to 60% of Nigerian small businesses struggle to keep secure electronic records, which means they are at risk of not complying<sup>5</sup>. This shortcoming raises questions about whether the digital provisions of CAMA are adequate for a fast-evolving business world<sup>6</sup>. Consequently, the study of privacy and personal data protection by corporations under CAMA 2020 is fundamental in appreciating both its innovative scope and regulatory hollowness.

Regulatory authorities are now keen to ensure that corporate data is protected and they are naturally turning their attention to digital records, as these replace physical archives. The relevant provisions of the CAMA 2020 addressing record preservation and retention is consistent with the National Information Technology Development Agency (“NITDA”) and Data Protection Regulation (NDPR) 2019 that makes explicit provision for lawful processing and storage of personal data<sup>7</sup>. However, the regulatory landscape in Nigeria continues to struggle with enforcement deficits, inadequate cyber infrastructure and low corporate consciousness of privacy obligations<sup>8</sup>. In contrast, such jurisdictions such as the United Kingdom and European Union have robust frameworks including General Data Protection Regulation (GDPR) framework which CAMA somewhat mimics but doesn’t embrace in its entirety<sup>9</sup>. The Nigerian story thus illustrates the promise and peril in corporate law of digital reform, justifying sustained scholarly and legislative attention.

Furthermore, the context of this work reveals that despite the advancement in statutory provision, corporate data privacy practice that enforcement is relatively low in Nigeria. The online conversion of CAC, innovative though it is, also opens such companies to cyber threats in the absence of a data protection law tailored to national needs<sup>10</sup>. Available statistics has it that more than ₦20 billion is lost each year just in cyber-related breaches on corporate data systems and this number will only keep skyrocketing as the world becomes increasingly digitalized<sup>11</sup>. Therefore, the protection of confidential corporate information is not only a legal requirement but also important in supporting investor confidence and good governance<sup>12</sup>. Consequently, this research examines the sufficiency of CAMA 2020 on protecting corporate data privacy and retention and demonstrates its value by suggesting frameworks that harmonize domestic law with international best.

In considering these matters, it is important to be aware that this aspect of the research goes beyond the interpretation of statute and offers comparative observations and regulatory content. Nigeria’s journey towards digital transformation in corporate governance requires not just the advancement of technology system but also sound legal structures that protect the rights of data subjects and hold companies accountable<sup>13</sup>. CAMA 2020 lays the groundwork for this revolution, however, its realization

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<sup>4</sup> T Adegbite, “Revolutionizing Corporate Governance through Digitalization: Lessons from Nigeria,” *African Journal of Business Law*, vol. 3, no. 2 (2023): 110–125.

<sup>5</sup> National Bureau of Statistics (NBS), “ICT Adoption and Business Digitalization in Nigeria,” Abuja: NBS Publications, 2023.

<sup>6</sup> O Akinsanya, “Corporate Data Management and Compliance Risks in Nigeria,” *Journal of Corporate Law and Policy Studies*, vol. 2, no. 1 (2022): 51–70.

<sup>7</sup> National Information Technology Development Agency (NITDA), Nigeria Data Protection Regulation (NDPR), 2019.

<sup>8</sup> V Osuagwu, “The Interface of Corporate Law and Data Privacy in Nigeria,” *Journal of African Legal Studies*, vol. 8, no. 1 (2022): 88–107.

<sup>9</sup> European Parliament and Council, General Data Protection Regulation (GDPR), Regulation (EU) 2016/679.

<sup>10</sup> T Olaniyan, “Cybersecurity and Corporate Data Protection in Nigeria: Emerging Legal Challenges,” *ICT and Law Journal of Africa*, vol. 1, no. 3 (2023): 59–81.

<sup>11</sup> KPMG Nigeria, “Cybercrime and Corporate Governance Survey Report,” Lagos: KPMG Publications, 2022.

<sup>12</sup> C Uche, “Investor Confidence and Data Security in Nigerian Companies,” *Nigerian Business Law Journal*, vol. 7, no. 1 (2021): 90–108.

<sup>13</sup> T Ajibola, “Digital Compliance and Corporate Accountability in Emerging Economies,” *Journal of Comparative Law and Technology*, vol. 5, no. 2 (2023): 134–155.

can only occur with the aid of Institutional readiness and judicial clarity<sup>14</sup>. Additionally, the relationship between corporate law, data privacy and technology results in a dynamic crossroad for which there is a need to align the development of policy on such matters<sup>15</sup>. By transposing this discussion into the context of a legal-analytical framework, the study highlights that there is an urgent need to implement adequate reforms in Nigeria's corporate data governance for sustainable development.

## 0.2. Analysis of Section 861: Preservation of Documents and Inspection

Section 861 of the Companies and Allied Matters Act (CAMA) 2020 provides an essential legal regime for preservation of corporate documents in physical and electronic format, with companies required to keep records of its activities for a period specified in the provision. That was a provision to guarantee the continuity, the traceability and evidentiary integrity of corporate operations, a sacred cow when it comes to transparency and good governance<sup>16</sup>. The Act mandates that records including minutes, resolutions, financial statements and statutory filings are to be kept securely and made available for examination by a regulator and the courts<sup>17</sup>. This responsibility also promotes corporate discipline by requiring companies to have a legal obligation to protect information from loss, alteration and obliteration<sup>18</sup>. Enshrining provision for record retention in Government records fosters organizational accountability and regulatory oversight of Nigeria's corporate landscape.

The Section 861 review of documents is supportive of preservation as it provides regulators and shareholders with legal access to the records of a company in furtherance of compliance and good governance. Posting of the corporate records promotes confidence in corporate governance as it makes it possible to verify important documents like members' register, directors' interests or an annual return through this open-access principle<sup>19</sup>. The CAC and other regulatory bodies rely on this statutory right of access to ensure compliance with filing obligations in relation to financial disclosures and anti-corruption<sup>20</sup>. Moreover, through installing inspection rights the Act strengthens accountability as a mechanism that discourages false representation and forgery of documents within corporate bodies<sup>21</sup>. However, for the sake of proprietary and confidential business information that is sensitive to misuse there must also be a careful management of openness, such that transparency and privacy are balanced.

There's been a growing challenge over the years; it is to do with document retention in this digital age, where we store our records digitally and not in traditional paper form. As corporate information continues its life in a digital world, the problem of how to make sure documents can be trusted and recovered becomes both a legal and technical question<sup>22</sup>. In this regard, Section 84 of the Evidence Act 2011 is the vehicle for proving whether an electronic record is admissible evidence, it focuses on system reliance and relevant authentication<sup>23</sup>. However, a number of Nigerian organizations still do

<sup>14</sup> U Eze, "Corporate Reforms and the Digital Economy in Nigeria," *African Journal of Legal Reform*, vol. 4, no. 3 (2022): 62–79

<sup>15</sup> P Ogbonna, "Harmonizing Data Protection and Corporate Law in Nigeria," *Nigerian Journal of Law and Development*, vol. 6, no. 2 (2023): 44–63.

<sup>16</sup> Companies and Allied Matters Act, 2020, s. 861(1).

<sup>17</sup> Ehioghare, "Digitalization and Corporate Law Reform in Nigeria," p. 55.

<sup>18</sup> Ofo, "Corporate Governance and Data Protection in Nigeria: A Legal Nexus," p. 118.

<sup>19</sup> Companies and Allied Matters Act, 2020, ss. 331–332.

<sup>20</sup> Corporate Affairs Commission, *Guidelines on Statutory Filing and Inspection Procedures*, Abuja: CAC Publication, 2022.

<sup>21</sup> T Ajibola, "Digital Compliance and Corporate Accountability in Emerging Economies," *Journal of Comparative Law and Technology*, vol. 5, no. 2 (2023): 139.

<sup>22</sup> T Olaniyan, "Cybersecurity and Corporate Data Protection in Nigeria: Emerging Legal Challenges," *ICT and Law Journal of Africa*, vol. 1, no. 3 (2023): 68.

<sup>23</sup> Evidence Act, 2011, s. 84.

not have strong information management practices and this could lead to data been altered or loosed<sup>24</sup>. This makes it clear: while Section 861 represents progress towards modernization.

The 861 preservation and inspection framework is critically important to advancement of corporate auditing and accountability, as it enables auditors and regulators to rely on data trails in connection with financial and governance evaluations. A properly-kept corporate record is evidence of statutory compliance, directors' duties and shareholders' entitlement<sup>25</sup>. Through mandatory retention, the law minimizes selective disclosure exposure and allows evidence even for forensic audits to be secured when anomalies have occurred<sup>26</sup>. But e-data storage poses new threats like server failures, software deterioration and cyberattacks - that may make audit trails unreliable or evidence impossible to reach<sup>27</sup>. This means companies must not only save data, but make the transition to secure, regularly updated digital infrastructures with room for continuous auditing and legal verification.

Despite the innovation heralded by CAMA 2020, upholding evidence preservation on cloud storage from multiple jurisdictions is a messier challenge. Nigerian enterprises are depending more on overseas cloud service providers for the storage of corporate data, raising concerns around sovereignty, data residency and international legal compliance<sup>28</sup>. The Nigeria Data Protection Act (NDPA) 2023 restricts transfer of sensitive data out of Nigeria without appropriate measures for security, but enforcement is weak<sup>29</sup>. Moreover gaps for technological capacity between big enterprises and SMEs obstruct the homogeneous realization of a safe digital preservation policy<sup>30</sup>. Hence, it is high time that Nigeria provided a framework on corporate data localization and retention which will harmonize and servo-comply with digital operations.

Finally, section 861 of CAMA 2020 re-emphasizes the doctrine that document preservation is a veritable teat upon which corporate accountability thrives (one that articulates law and technology as complimentary aspects of governance). The Act modernizes the retention of corporate information (by accommodating electronic storage) but it is still premised upon institutional capability, technological stability if it is to be effectively enforced<sup>31</sup>. The lack of specific retention guidelines, particularly those related to digital and cloud-based information is inhibiting the effective operation of this provision<sup>32</sup>. To achieve the objectives of Section 861, Nigeria should empower regulatory agencies including the CAC and the Nigeria Data Protection Commission to develop sector-specific rules on archiving in digital form; Inspecting archives held in electronic form; and recovering data from such archive<sup>33</sup>. A cohesive model linking law, technology, and policy guarantees that document preservation will not only function as an instrument of good governance but as a building block for corporations in the digital age.

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<sup>24</sup> T Adegbite, "Revolutionizing Corporate Governance through Digitalization: Lessons from Nigeria," *African Journal of Business Law*, vol. 3, no. 2 (2023): 120

<sup>25</sup> C Uche, "Investor Confidence and Data Security in Nigerian Companies," *Nigerian Business Law Journal*, vol. 7, no. 1 (2021): 97.

<sup>26</sup> KPMG Nigeria, "Cybercrime and Corporate Governance Survey Report," Lagos: KPMG Publications, 2022.

<sup>27</sup> Osuagwu, "The Interface of Corporate Law and Data Privacy in Nigeria," p. 93.

<sup>28</sup> Nigeria Data Protection Act, 2023, s. 41.

<sup>29</sup> P Ogbonna, "Harmonizing Data Protection and Corporate Law in Nigeria," *Nigerian Journal of Law and Development*, vol. 6, no. 2 (2023): 51.

<sup>30</sup> National Information Technology Development Agency (NITDA), Data Hosting and Cloud Compliance Guidelines, Abuja: NITDA Publications, 2023.

<sup>31</sup> U Eze, "Corporate Reforms and the Digital Economy in Nigeria," *African Journal of Legal Reform*, vol. 4, no. 3 (2022): 70.

<sup>32</sup> T Ajibola, "Digital Compliance and Corporate Accountability in Emerging Economies," *Journal of Comparative Law and Technology*, vol. 5, no. 2 (2023): 147.

<sup>33</sup> Ofo, "Corporate Governance and Data Protection in Nigeria: A Legal Nexus," *African Law Review*, vol. 4, no. 1 (2022): 127.

### 0.3. Analysis of Section 864: Retention of Records in Soft Copies

The CAMA 2020 Section 864 inserts a new principle in the soft copy record Keeping section, with companies now having the option to legally recognise soft copy record keeping by storing their statutory and operational records electronically and not only in physical form. This section, which is in consonance with Nigeria's digital governance policy, suggests that corporate efficiency and accessibility have to keep pace with the rapid development of technology<sup>34</sup>. It states that records under the Act may be stored electronically if they are able to be produced in legible form if required by law or regulators<sup>35</sup>. The impetus behind this section is to provide for ease of doing business, reduce physical storage requirements and encourage corporate groups to adopt environmentally sustainable records management processes<sup>36</sup>. Therefore, Section 864 is also a green and cost-efficient reform to update corporate management of Nigeria's new digital economy.

It is very beneficial for corporate bodies to maintain their records in soft copies on account of the cost effective factor and resource management. Companies can leverage these savings on cost to focus more time and money on business priorities and innovation by getting rid of bulky physical filing requirements<sup>37</sup>. Research shows that electronic records have cut operating funds of Nigerian organizations by 35%, showing the economic gains of digitalization in recordkeeping<sup>38</sup>. In addition, electronic storage of records in the cloud allows for quick retrieval, copying, and backup that can help with business continuity in the event of physical loss or damage to documents and applications<sup>39</sup>.

Environmentally and system-wise, the soft copy retention policy supports sustainability and CSR initiatives by mitigating paper usage exchanges for more desirable digital stewardship. While as international group-level responsibility programs press for corporate environmental liability, digital data storage is seen as a compliance measurement of good business sustainability practices<sup>40</sup>. CAMA's support for soft copy retention is consistent with Nigeria's obligations under the Paris Agreement and Sustainable Development Goals (SDGs), specifically Goal 12 on sustainable consumption<sup>41</sup>. It further encourages collaboration among agencies, and allows companies to share records electronically with regulators so they can monitor progress and alleviate bureaucratic logjams<sup>42</sup>. However, such modern approach requires vigilant management to avoid the abuse of electronic means and modification for fraud or irregularity concealment.

Aside from sustainability, innovative Section 864 supports regulatory adherence by providing firms with the means to maintain accurate, easily accessible records that can be electronically transmitted when requested by regulators. This method is also in line with the CAC's push for digitization and

<sup>34</sup> Companies and Allied Matters Act, 2020, s. 864(1).

<sup>35</sup> A Abiola, "The Digitalization of Corporate Record-Keeping under CAMA 2020: Emerging Trends and Legal Issues," *Nigerian Journal of Corporate Governance*, vol. 6, no. 1 (2023): 41.

<sup>36</sup> O Fapohunda, "Green Governance and Digital Record Management in Nigeria," *Journal of Law and Sustainable Development*, vol. 4, no. 2 (2022): 55.

<sup>37</sup> I Okonkwo, "Corporate Efficiency and the Economics of Digital Record Retention in Nigeria," *African Journal of Business Administration*, vol. 8, no. 1 (2023): 29.

<sup>38</sup> PricewaterhouseCoopers (PwC), "Digital Corporate Management Trends in Africa," Lagos: PwC Research Paper, 2022.

<sup>39</sup> K Adetiba, Kemi, "Sustainability and Corporate Recordkeeping in the Digital Age," *Journal of Modern Business Law*, vol. 5, no. 3 (2023): 74.

<sup>40</sup> United Nations, *Transforming Our World: The 2030 Agenda for Sustainable Development*, New York: UN Publications, 2015.

<sup>41</sup> T Adesina, "Corporate Governance, Environmental Responsibility, and Digitalization in Nigeria," *Environmental Law and Policy Review*, vol. 3, no. 1 (2022): 48.

<sup>42</sup> H Adebayo, "Inter-Agency Collaboration and Corporate Data Exchange in Nigeria's Digital Economy," *Journal of Legal and Economic Studies*, vol. 9, no. 2 (2023): 66.

meets FRC and CBN regulations which stipulate digital audit trails, as part of its regulations requiring substantiated corporate filings<sup>43</sup>. The ability to retain records in electronic form improves a company's responsiveness to regulatory audits, tax inquiries and corporate investigations<sup>44</sup>. Additionally, it aligns corporate records management with the 2023 Nigeria Data Protection Act (NDPA), which requires data controllers to keep electronic records secure and for the integrity and accuracy of such digital data during holding period<sup>45</sup>. Therefore, section 864 serves as a template regulating the corporate mentality, data privacy and digital accountability scaffolds.

However, while the world moves toward digital record keeping, this poses legal questions about evidence admissibility in Nigerian courts which, under traditional evidentiary standards, tend to favor physical documents. The Evidence Act of 2011, Section 84: presents very restrictive conditions for admitting electronic evidence in that such evidence must be shown to be reliable, the record authentic and no tampering or manipulation<sup>46</sup>. Most organizations do not have an established policy or the technical infrastructure to comply with these evidentiary guidelines, and face a risk of having key electronic records disallowed in litigation or regulatory action<sup>47</sup>. This disparity between technological advancement and judicial preparedness highlights the necessity of judicial capacity, legal reform, and synchronisation between the CAMA and Evidence Act<sup>48</sup>. Failing to fill these gaps would create a loophole and result in procedural hurdles challenging the authenticity of digital documents, defeating the progressive purpose of Section 864.

Notwithstanding, the coming of Section 864 is a step in the right direction for digital entrenchment and corporate dynamism in Nigeria. It is a sign that the government sees technology as key to 21st century governance, corporate oversight and economic competitiveness<sup>49</sup>. For this to have an impact, Nigeria has to improve digital literacy at the executive level of businesses, implement encryption and authentication standards, and update judicial mechanisms for assessing electronic evidence<sup>50</sup>. Furthermore, the collaboration among the CAC, NDPC and judiciary is an important feature that would help close regulatory and procedural gaps which have hitherto hampered complete implementation<sup>51</sup>. In the final analysis, sec 864 embodies the Nigerian concept of digital corporate regime that seeks to strike a balance between efficiency, sustainability and legal certainty in management of company records".

#### **0.4. Critical Appraisal of CAMA's Digital Record Framework**

##### ***i. Gross misalignment in core data-protection principles***

CAMA 2020 marks a laudable step towards While CAMA 2020 seems like a commendable foray into the recognition of electronic corporate records, a doctrinal comparison with provisions of the General

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<sup>43</sup> Financial Reporting Council of Nigeria (FRCN), Guidelines on Electronic Filing and Record Retention, Abuja: FRCN Policy Document, 2023.

<sup>44</sup> E Udom, "Corporate Compliance and the Digital Transition in Nigeria," *Journal of Contemporary Corporate Law*, vol. 7, no. 1 (2023): 59.

<sup>45</sup> Nigeria Data Protection Act, 2023, s. 11.

<sup>46</sup> Evidence Act, 2011, s. 84.

<sup>47</sup> C Nwosu, Chidera, "Electronic Evidence and Corporate Accountability in Nigeria: Bridging the Legal Divide," *Nigerian Law and Technology Journal*, vol. 3, no. 2 (2022): 102.

<sup>48</sup> C Ibezim, "Evidentiary Challenges in the Era of Digital Corporate Recordkeeping," *Journal of Commercial Law and Practice*, vol. 8, no. 1 (2023): 45.

<sup>49</sup> A Bello, "Legal Modernization and Digital Corporate Regulation in Nigeria," *African Journal of Law and Technology*, vol. 5, no. 2 (2023): 121.

<sup>50</sup> K Yusuf, "Encryption Standards and Corporate Record Security: A Nigerian Perspective," *Information and Communication Law Review*, vol. 6, no. 3 (2023): 62.

<sup>51</sup> S Olatunde, "Judicial Adaptation to Electronic Evidence under CAMA 2020," *Nigerian Journal of Legal Innovation*, vol. 4, no. 1 (2024): 37.

Data Protection Regulation (GDPR) of the European Union shows that fundamental data-protection principles such as lawful basis of processing, purpose restriction and minimization, enforceable data-subject rights and liabilities, that the GDPR incorporates as mandatory procurement norms for controllers/processors are actually fundamentally misaligned. While CAMA mandates e-document /e-retention legality, it does not provide the kind of granular normative architecture which the GDPR offers for safeguarding personal data such as express statutory provisions on rights of DSs to access, rectify and be forgotten and an obligation to undertake DPIAs for high-risk processing<sup>52</sup>. This doctrinal fissure has the effect that CAMA's digital-records regime is largely company-focused (improving registration reserves and corporate transparency) rather than rights-focused (shielding individuals and other natural persons whose data fill corporate systems), presenting a concern when obligations to give out financial statements by companies clash with privacy rights held by individuals<sup>53</sup>. Accordingly, while both CAMA and GDPR are united in their desire for legal recognition of electronic records, the lack of GDPR-style substantive protections in CAMA results in a regulatory imbalance that gives way to a significant gap within Nigeria's broader data-protection framework.

### ***ii. Enforcement Architecture and Remedial Mechanisms***

A second doctrinal issue concerns enforcement architecture and remedial measures: the GDPR creates a penalty and deterrence-oriented enforcement framework investigative regulatory authorities, substantial administrative fines, extraterritoriality that is absent from CAMA's corporate records and filings provisions<sup>54</sup>. CAMA enables the Corporate Affairs Commission (CAC) e.g. for purposes of registration, filing and corporate compliance, but it does not establish a dedicated supervision regime on personal data protection with investigative and sanctioning powers in the same way as GDPR delegates to its Data Protection Authorities<sup>55</sup>. The passage of the Nigeria Data Protection Act (NDPA) 2023 assuages some of these misgivings through the establishment of the Nigeria Data Protection Commission (NDPC) with regulatory and penal powers, but anointing the CAC separately from the NDPC could create conflicts and redundancies in their oversight functions, unless otherwise streamlined by inter-agency protocols. Without CAC and NDPC being doctrinally aligned in the apportioning of investigatory and sanctioning authority, independent enforcement may be fragmented and ineffective regarding the corporate-records regime<sup>56</sup>.

### ***iii. Institutional Capacity and Operational Readiness***

A third doctrinal deficit relates to institutional capacity and operational fitness: as an institution originally designed for company registration/corporate compliance, the CAC cannot have the specialist technical/forensic/regulatory competences needed for policing advanced data-protection obligations in a cyber-enabled space without close cooperation with authorities like data-protection and cybersecurity agencies<sup>57</sup>. Empirical research and policy reports indicate that corporate registries in many developing countries face limitations with regard to IT systems, expertise, and the ability to respond to incidents—all shortcomings that serve as impediments for the actual enforceability of both CAMA's electronic-recording scheme and the NDPA's substantive requirements<sup>58</sup>. Furthermore, UDPC is a fledgling body whose investigatory processes, guidance tools and enforcement standards are still embryonic so the co-

<sup>52</sup> Regulation (EU) 2016/679 (General Data Protection Regulation), arts. 5–6, 32–35.

<sup>53</sup> Ogbonna, "Harmonizing Data Protection and Corporate Law in Nigeria," pp. 47–49.

<sup>54</sup> Regulation (EU) 2016/679 (GDPR), arts. 57–59, 83.

<sup>55</sup> Companies and Allied Matters Act, 2020, ss. 860–864 (corporate registry functions).

<sup>56</sup> Nigeria Data Protection Act, 2023, ss. 7–12; Ajibola, Temitope, "Digital Compliance and Corporate Accountability in Emerging Economies," *Journal of Comparative Law and Technology*, vol. 5, no. 2 (2023): 138–40.

<sup>57</sup> Corporate Affairs Commission, Digital Filing and Corporate Registry Reforms, Abuja: CAC Policy Paper, 2022.

<sup>58</sup> National Information Technology Development Agency (NITDA), National Cybersecurity Framework, 2023; KPMG Nigeria, Cybercrime and Corporate Governance Survey Report, 2022.

regulatory system remains immature leaving it open to regulatory lacunae<sup>59</sup>. Hence, doctrinally correct legislation has to be accompanied with institutional investments to give some teeth/bite/action on the ground.

#### ***iv. Cybersecurity Oversight and Technical Standards***

Fourth, doctrinally, limitations on cybersecurity oversight and standards too tenuously connect to CAMA's recordkeeping mandates: the Act permits retention and filing digitally but does not require "basic technical capabilities" such as prescribed encryption levels, penetration testing routines, secure key management processes or minimum log-creation habits championed in various international frameworks as pivotal to maintaining trademark integrity against falsification or destruction<sup>60</sup>. While the NDPA and NITDA instruments start to detail security duties applicable to data controllers and processors, in absence of explicit provisions cross-referencing CAMA or binding CAC regulations, corporate registries and registrants may be left unsure as to which technical standards will govern filings or how compliance will be monitored<sup>61</sup>. This gap presents doctrinal uncertainty concerning evidentiary authenticity and chain-of-custody surrounding electronical records used in litigation or regulatory audits, leaving companies and regulators vulnerable to legal challenge regarding admission of electronic-but-misplaced evidence<sup>62</sup>. Thus, to maintain the evidentiary value and public confidence in this statutory regime, the doctrinal connecting tissue between statutory recognition of those electronic records and enforceable technical security standards becomes even more important.

#### ***v. Practical Implementation Problems***

Furthermore, practical-end implementation issues—including cloud-residing and transnational data flow obstacles, smallholder capacity challenges and lack of uniform standards for migrated record format—expose some doctrinal infirmities in CAMA's treatment of digital records that will need statutory clarification and administrative explanations<sup>63</sup>. Indeed, while CAMA explicitly allows for soft-copy preservation, the NDPA imposes restrictions on international data transfer and localization under certain conditions. Furthermore, those may put certain companies in tension with their preferring global cloud vendors unless clear pathways to compliance are established<sup>64</sup>. Small and Medium Enterprises, which form a major portion of registered organizations, generally do not have the capacity to enforce through negotiation or technical know-how for third-party cloud vendors to comply with standards set through NDPA leading to compliance asymmetry and non-uniform deployment. These doctrinal promises of convenient digital life are at risk of not being fulfilled into an uneven legal protection, regulatory fragmentation, unless there is focused use of regulatory devices model contractual clauses; certification schemes for cloud providers; proportionate compliance paths for SMEs<sup>65</sup>.

To address some of these challenges, doctrinally coherent remedies would also involve the harmonisation of CAC regulations with NDPC's remit through explicit legislative amendments and inter-agency regulatory instruments, while aligning corporate registry practices with contemporary data

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<sup>59</sup> P Ogbonna, "Harmonizing Data Protection and Corporate Law in Nigeria," *Nigerian Journal of Law and Development*, vol. 6, no. 2 (2023): 52–54.

<sup>60</sup> Nigeria Data Protection Act, 2023, s. 11; National Information Technology Development Agency (NITDA), NDPR Implementation Framework, 2020.

<sup>61</sup> NITDA, Data Hosting and Cloud Compliance Guidelines, 2023.

<sup>62</sup> K Yusuf, "Encryption Standards and Corporate Record Security: A Nigerian Perspective," *Information and Communication Law Review*, vol. 6, no. 3 (2023): 60–63.

<sup>63</sup> Companies and Allied Matters Act, 2020, s. 864; Nigeria Data Protection Act, 2023, s. 41.

<sup>64</sup> Nigeria Data Protection Act, 2023, ss. 41–44; PricewaterhouseCoopers (PwC), Digital Corporate Management Trends in Africa, 2022.

<sup>65</sup> I Okonkwo, "Corporate Efficiency and the Economics of Digital Record Retention in Nigeria," *African Journal of Business Administration*, vol. 8, no. 1 (2023): 33–35.

protection norms; in this light, proposed measures are (a) a MoU and joint regulatory framework between CAC and NDPC to delineate roles and coordinate enforcement, (b) the mandatory adoption of DPIAs along with the appointment of DPOs for companies over size thresholds, c) binding technical standards for encryption, logging disclosure & periodic independent audits for corp-registry d) proportional compliance support & certification schemes for cloud service providers in order to facilitate lawful international transfers<sup>66</sup>. Incorporating these draws of doctrine into CAC's regulatory toolkit, with suitable capacity building to boot, judicial training around electronic data and clean guidance on admissibility standards would seal the doctrinal cracks exposed above and signal an integrated, rights-respecting digital corporate habitat<sup>67</sup>. Finally, harmonization will necessitate legislative fine-tuning and regulatory collaboration and resource mobilisation to ensure that the modernization aspirations of CAMA 2020 are translated into robust protection for corporate stakeholders as well as data subjects<sup>68</sup>.

### 0.5. Conclusion and Recommendations

This article has reviewed the revolutionary, yet, incoherent regime of corporate data protection, privacy and records retention provisions under CAMA 2020 specifically Sections 860, 861 and 864. It noted that the Act had made a substantial advance on Nigeria's company law by legalizing electronic documentation and digital record keeping, including maintenance of records in soft copy which chartered accountants have been utilizing to achieve greater efficiency; access and transparency in business transactions. Yet, these reforms also make corporations more vulnerable in terms of threats such as cyber security vulnerabilities and also inadequate enforcement mechanisms and institutional capabilities. The study also found that, although CAMA 2020 conforms with international norms and standards including the EU General Data Protection Regulation (GDPR) and Nigeria's Data Protection Act (NDPA) 2023, it is limited in scope in terms of enforcement mechanisms, technical standards and coordination among regulators. Thus, the results indicate that CAMA 2020 is progressive; however, there needs to be a stronger institutional cooperation and legal harmonisation to realise the practice of digital accountability and corporate data integrity in Nigeria.

Finally, this article reinforces the thesis that while CAMA 2020 revolutionizes company documentation it is yet, lacking in implementation and harmonisation with data protection law. A doctrinal analysis was conducted that demonstrated that the digital transformation, without data governance as its counterpart, is creating loopholes in regulation which could potentially incertify corporate transparency and public confidence. To overcome these shortfalls, Nigeria would need to operationalise realistic, inter-agency and technology-led devices which would synchronize the dynamic functioning of both the Corporate Affairs Commission (CAC) and the Nigeria Data Protection Commission (NDPC): mechanisms to strengthening technical standards, promoting cybersecurity audits, and enforcing compliance are necessary by which digital governance might come of age legally. The recommendations below are based on a pragmatic approach to a secure and synchronized corporate data ecosystem as prescribed by CAMA 2020:

#### ***i. Establish a CAC–NDPC Joint Regulatory Framework:***

There should be a Memorandum of Understanding (MoU) between the Corporate Affairs Commission and Nigeria Data Protection Commission to facilitate co-regulatory oversight for digital records in corporate governance. This collaboration should establish the ambit of powers to monitor, investigate and sanction breaches of data protection within corporate filings. "With joint audits and compliance databases, there won't be any redundant operations. This harmonization would also eliminate deadly gaps in jurisdiction.

<sup>66</sup> Nigeria Data Protection Act, 2023; Regulation (EU) 2016/679 (GDPR), arts. 35–37 (DPIAs and DPOs).

<sup>67</sup> T Ajibola, "Digital Compliance and Corporate Accountability in Emerging Economies," *Journal of Comparative Law and Technology*, vol. 5, no. 2 (2023): 150–55.

<sup>68</sup> U Eze, "Corporate Reforms and the Digital Economy in Nigeria," *African Journal of Legal Reform*, vol. 4, no. 3 (2022): 74–77.

Through establishing a unified compliance regime, Nigeria would bridge the gap between corporate governance and data protection requirements.

***ii. Introduce Mandatory Cybersecurity Audits for Companies:***

Each registered company that stores electronic/cloud information, should be audited annually for cybersecurity by certified professionals. These audits will cover everything from encryption standards to network redundancy and data recovery capability, ensuring that business systems meet a minimum level for cyber-security. These will bring corporate behaviour into line with world standards, such as ISO/IEC 27001 on information security management. This would guarantee a sense of security in knowing that an external entity is checking Nigerian company records, for the purposes of investor credibility and competition with global standards.

***iii. Develop Comprehensive Guidelines on Digital Record Retention:***

The CAC and NDPC could jointly establish mandatory standards on format, retention period, and encryption standard and backup for all corporate documents through digital record retaining regulations. These standards will avoid variation in the way electronic records are archived, verified and accessed at various sectors. Any such regulation should also require secure cloud hosting protocols, in line with the NDPA 2023 cross border data transfer mandates. Consistent standards will guarantee that electronic records meet the standard of admissibility in court, while also meeting requirements for use in a regulatory capacity.

***iv. Strengthen Institutional Capacity and Technical Infrastructure:***

The effectiveness of electronic record systems is dependent on the technological and human resource capability of regulatory bodies. The CAC would need to finance training on cyber security, data centre security and digital forensics equipment to ensure it could monitor and process electronic filings competently. Developing in-house expertise will decrease dependence on external vendors and reduce the risk of data tampering or disclosure. In addition, the in-service training of staff should include an emphasis on legal, technical and ethical aspects involved in data management.

***v. Integrate Data Protection Impact Assessments (DPIAs) into Corporate Filings:***

Businesses should be legally mandated to carry out Data Protection Impact Assessments before implementing new data-processing systems and moving to electronic records platforms. DPIAs would also enable to detect data-related risks in a timely manner, so as to comply with CAMA and NDPA requirements. The CAC would be entitled make evidence of completed DPIAs a condition for the annual return or filing process for medium and large companies. This preventative mechanism will integrate privacy-by-design into companies data management.

***vi. Amend CAMA 2020 to Incorporate Explicit Data Protection Provisions:***

CAMA 2020 would need specific amendments for full harmonization, referring specifically to core principles from the Nigeria Data Protection Act and requiring corporate adherence to acceptable privacy norms. The amendment and regulation should also establish a statutory path to harmonize electronic records with liability for data privacy and cyber security obligations. If penalties for the violation of digital record management standards could be clearly written into law, then CAMA would become an all-inclusive tool of digital governance. The reform would, therefore, finalize Nigeria's journey from analog administration of businesses to a digitalized, secured and rights-based corporate regulatory regime.

The bottom line is that the much-needed new dawn of CAMA 2020 can only achieve a matured and technology-friendly juridical environment with the combination of regulatory co-operation, persistent capacity building and further legislative fine-tuning, Nigeria can turn its corporate data architecture into a beacon of digital integrity and accountability for privacy in Africa.